time that the requester receives the first responsive bid or offer, the SBSEF must communicate to the requester any firm bid or offer pertaining to the same SBS resting on any of the SBSEF's order books; (ii) the SBSEF must provide the requester with the ability to execute against those firm resting bids or offers along with any responsive orders; and (iii) the SBSEF must ensure that its trading protocols provide each of its members with equal priority in receiving requests for quotes and in transmitting and displaying for execution responsive orders. The requirements of Proposed Rule 815(a)(3) are referred to as the "RFQ-to-3 requirement."

(ii) Comments on the RFQ-to-3 Requirement

The Commission received comments on the proposed RFQ-to-3 requirement in Proposed Rule 815(a)(3).[171] One commenter suggests that the Commission expand the permitted modes of SBS execution for swaps mandated for trading on SBSEFs in order to provide for a less prescriptive, more principles-based approach that balances transparency, competition, and liquidity through a flexible set of rules and states that any means of execution that provides sufficient pre-trade price transparency and preserves competition should be available.[172] This commenter, while supporting general harmonization between the Commission's and the CFTC's rules on trading protocols and methods of execution, argues that the Commission's rule also needs to balance harmonization with the need to reflect the unique and sensitive liquidity conditions that exist in SBS markets.

Stating that an RFQ-to-3 requirement for Required Transactions that are SBSs means something completely different than for swaps, this commenter urges the Commission to consider a lower RFQ threshold given the nature of the SBS market. This commenter states that,

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171 *See* ISDA-SIFMA Letter, *supra* note 18, at 5–6; SIFMA AMG Letter, *supra* note 18, at 8–9.

172 *See* SIFMA AMG Letter, *supra* note 18, at 8.

in some cases, for an asset manager to seek three quotes would effectively require the asset manager to contact many of the primary price makers in the SBS market, as there simply are not the same number of liquidity providers, particularly for less liquid, more thinly traded SBSs, as the number of participants, the trading volume, and the depth of market liquidity are very different in the SBS market. The commenter suggests that requesting quotes from two participants, for example, would allow the asset manager to retain some control over the information disseminated about its interest to the market while preserving the statute's "multiple to multiple" definition requirement.[173]

Another commenter also urges the Commission to consider an alternative approach to the proposed RFQ-to-3 requirement, and to provide a "phased-in compliance" with the required methods of execution, whereby a MAT SBS product may be executed on an SBSEF via any method of execution until such time as it is determined through notice and comment that an appropriate level of liquidity exists to enable an order book or RFQ-to-3 system.[174] This commenter states that, considering the lack of liquidity in SBS products, pre-trade transparency via the proposed RFQ-to-3 requirement could negatively impact liquidity provision for end-users. The commenter states that, if clients are required to "show their hand to three liquidity providers," it may lead to information leakage and an inability to hedge the clients' risks through the SBS markets.[175] The commenter asserts that this is particularly so given that there are a relatively small number of active dealers for many SBS products, stating that, based on DTCC[176]

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173 *See id.* at 9.

174 *See* ISDA-SIFMA Letter, *supra* note 18, at 5–6.

175 *Id.* at 6.

176 "DTCC" refers to the Depository Trust and Clearing Corporation.

data on credit SBS for the top 700 issuers, there are on average 2.7 dealers, and 400 of the top 700 issuers have fewer than three active dealers per month.[177]

This commenter further argues that an RFQ-to-3 requirement would be problematic for SBS equities, where the current execution processes are very different from their swaps counterpart. The commenter states that clients in SBSs typically ask their preferred dealer to execute shares in SBS at market price (or some other pricing structure), the dealer then purchases the shares directly for hedging purposes, and the dealer then executes the swap at the end of the day with the client at an average market price.[178] The commenter states that, in this case, the dealer's interaction is more akin to a broker than a dealer counterparty, and that these trading practices would not be possible on an RFQ-to-3 or order book system. In addition, the commenter states that it has "compared the credit swaps activity that occurred on-venue back in 2012 before the CFTC trade execution requirement kicked in, with the credit SBS activity that occurs on-venue today" and asserts that the results suggest "that the swaps market was much more ready for the implementation of the trade execution requirement than the SBS market is today."[179] This commenter states that, "[a]bsent a phased-in implementation approach, the SBS market could suffer from significant disruptions."[180]

While the Commission acknowledges that there are differences between the liquidity in the SBS market and the swaps market, the process required before the execution requirement would apply to an SBS will reduce the risk of "substantial disruptions." The required methods of

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177 *See* ISDA-SIFMA Letter, *supra* note 18, at 6.

178 The commenter also stipulates that at the onset of the relationship, clients will negotiate a grid with dealers where certain short/long benchmarks and spreads are agreed for equity issuers on a jurisdictional or other basis. *See* ISDA-SIFMA Letter, *supra* note 18, at 6.

179 *Id.*

180 *Id.*

execution would be applied to an SBS only to the extent that it is subject to the clearing mandate *and* has been "made available to trade." Before making an SBS subject to the clearing mandate, the Commission would be able to take into account a number of factors, including the existence of significant outstanding notional exposures, trading liquidity, and the adequacy of pricing data.[181]

Further, to make an SBS "available to trade," an SBSEF would, under Proposed Rule 816(a)(1),[182] have to make a filing with the Commission under Rule 806 or Rule 807—both of which would allow the Commission to find that a filing was not consistent with the requirements of the SEA or Regulation SE.[183] Moreover, the SBSEF's filing would, under Proposed Rule 816(b), have to address, as appropriate, a number of relevant factors, including whether there are ready and willing buyers and sellers; the frequency or size of transactions; the trading volume; the number and types of market participants; the bid/ask spread; and the usual number of resting firm or indicative bids and offers. Similarly, a national securities exchange that wished to make an SBS "available to trade" would have to file a rule change under Rule 19b-4,[184] and that proposed rule change would be subject to Commission review for compliance with the requirements of the SEA, which requires that the rules of a national securities exchange, among other things, promote just and equitable principles of trade, remove impediments to and perfect the mechanism of a free and open market and a national market system, protect investors and the public interest, and not impose a burden on competition not necessary or appropriate in

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181 *See* SEA section 3C(b)(4)(i), 15 U.S.C. 78c-3(b)(4)(i). *See also* SEA section 3C(b)(4)(ii) through (v), 15 U.S.C. 78c-3(b)(4)(ii) through (v) (discussing other factors that the Commission would be required to take into account when making a mandatory clearing determination).

182 *See infra* section V.F.2.

183 *See supra* sections IV.A and B.

184 17 CFR 240.19b-4.

furtherance of the purposes of the SEA.[185] Thus, before an SBS becomes subject to the trade execution requirement, the Commission would have had multiple opportunities to consider the trading characteristics of that SBS.

Additionally, most, if not all, SBSEFs are likely to be dually registered with the CFTC as SEFs, and that most, if not all, market participants in the SBS market will be participants in the swaps market. The Commission remains concerned that different or additive requirements—particularly for the key concept of a "Required Transaction"—could introduce complexity and confusion if one set of trading protocols applied to Required Transactions for swaps but different protocols—different from ones that have been understood and utilized for many years—applied to Required Transactions for SBS transactions.

Thus, it is not appropriate to modify the requirement that a qualifying RFQ system under Proposed Rule 815(c) transmit a request for a quote to no fewer than three market participants in the trading system or platform. The question whether sufficient liquidity exists in the market for a given SBS to trade RFQ-to-3 can be addressed when the SBS is subject to the clearing mandate and when a national securities exchange or SBSEF seeks to make that SBS available to trade. Until that time, SBSs would be Permitted Transactions on SBSEFs and thus could be traded using other methods of execution, thus avoiding any potential disruptions to liquidity in the SBS markets.

(iii) RFQ Functionalities

The Commission also received two comment letters on the functionalities required for RFQ systems under Proposed Rule 815(a)(3).[186] Both commenters suggest that the proposed rule

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185 *See* Section 6(b)(5) and (8) of the SEA, 15 U.S.C. 78f(b)(5) and (8).

186 *See* Citadel Letter, *supra* note 18, at 13–14; MFA Letter, *supra* note 18, at 8.

be amended to require an SBSEF to communicate any firm bid or offer pertaining to the same instrument resting on any of the SBSEF's trading systems or protocols, not just firm bids or offers on the SBSEF's order book.[187] One of the commenters argues that, in practice, order books continue to be infrequently used on SEFs that offer RFQ systems and that, therefore, the same interaction requirement on SEFs has had little impact.[188] The commenter cites, for example, that "request for stream" trading protocols, which allow liquidity providers to stream firm prices, are not required to be communicated to clients sending an RFQ.

This commenter also suggests that the proposed rule should be modified to ensure that the RFQ requester has the ability to execute against all of the prices provided in connection with an RFQ on the same screen. The commenter argues that this will prevent an SBSEF from requiring the RFQ requester to click through multiple screens in order to execute against firm prices, which, the commenter argues, serves to disadvantage those prices versus other prices provided in response to an RFQ.[189] Finally, the commenter recommends that the requirements of Rule 815(a)(3) be modified to apply to all SBS transactions on an SBSEF, not solely Required Transactions, as they argued that this will help ensure that market participants transacting on SBSEFs are always provided with the necessary transparency to achieve the most favorable execution possible.[190]

The other commenter also urges the Commission to modify the requirement to ensure that the SBSEF communicates to the requester any firm prices available on the SBSEF, in

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187 *See* Citadel Letter, *supra* note 18, at 13; MFA Letter, *supra* note 18, at 8. Rule 813(a)(3)(i) requires an SBSEF to communicate to the requester any firm bid or offer pertaining to the same instrument resting on any of the SBSEF's order books.

188 *See* Citadel Letter, *supra* note 18, at 13; s*ee also* MFA Letter, *supra* note 18, at 8 (also referencing the request-for-stream protocol).

189 *See* Citadel Letter, *supra* note 18, at 13–14.

190 *See id.* at 14.

addition to resting firm bids or quotes on the SBSEFs order book(s), and that they make this functionality available for Permitted Transactions as well.[191] In the commenter's view, this approach is necessary in order to ensure the availability of quotes for SBS transactions that will be essential to maintaining liquidity and promoting open and equitable participation in the markets.

As previously noted, given that most if not all SBSEFs will be dually registered as SEFs, there is a public interest in harmonizing its requirements for trading protocols with those of the CFTC.[192] The commenters' suggestions to apply the proposed interaction requirement to all trading systems and protocols on the SBSEF would be a deviation from the CFTC's requirements for SEFs that would likely introduce operational and compliance challenges created by having different standards. This would undercut the Commission's goal of minimizing operational and compliance burdens by seeking to harmonize requirements between SEFs and SBSEFs. For instance, the commenters' suggestions to apply the order interaction requirement to all transactions on the SBSEF, not only Required Transactions, or to require that firm interest outside the SBSEF's order book be communicated in response to RFQs, would be a significant deviation from the CFTC's method-of-execution requirements and would have wide ramifications for the SBS markets, particularly in view of the liquidity and information leakage concerns that other commenters expressed elsewhere regarding the less liquid and thinly traded SBS products that may trade on an SBSEF.[193] As a result, applying such requirements to Permitted Transactions, which the CFTC does *not* do, would be likely to have the undesirable effect of discouraging market participants from voluntarily executing Permitted Transactions on

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191 *See* MFA Letter, *supra* note 18, at 8.

192 *See supra* section I.

193 *See supra* note 175 and accompanying text.

SBSEFs, which would lessen market transparency and would not provide greater opportunities for market participants to interact with trading interest not subject to the trade execution requirement. Further, it is not necessary for the Commission to mandate the technical details of how the SBSEF displays responses to RFQs to its members. Rule 819(c), discussed below,[194] requires SBSEFs to provide all ECPs and independent software vendors with impartial access market and market services, and this requirement is sufficient to address a situation in which an SBSEF designed its RFQ responses to systematically disadvantage certain market participants or types of market participants.

(c) Block-Trade Exception

(i) General Treatment of Block Trades

Under both the CEA and SEA, Core Principle 2 requires a SEF/SBSEF to specify trading procedures to be used in entering and executing orders on the facility, including block trades.[195] The CFTC implemented this provision by excepting block trades from the required execution methods in § 37.9(a)(2).[196] Proposed Rule 815(a)(2) would also exclude block trades from the required execution methods using language closely modeled on § 37.9(a)(2). Specifically, Proposed Rule 815(a)(2)(i) would apply required methods of execution to "[e]ach Required Transaction *that is not a block trade.*"[197]

Thus, the Commission's proposal to include an exception from the required methods of execution for block trades in Regulation SE is consistent with the approach taken by the CFTC. The purpose of having a block-trade exception to the required methods of execution is to balance

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194 *See infra* section VI.B.3.

195 15 U.S.C. 78c-4(d)(2)(C); 7 U.S.C. 7b-3(f)(2)(C).

196 That rule cross-references § 43.2, which defines the term "block trade" for purposes of public dissemination of swap transactions.

197 *See* Proposed Rule 815(a)(2)(i) (emphasis added).

the promotion of price competition and all-to-all trading against the potential costs to market participants who wish to trade large orders. Forcing a market participant who seeks liquidity to expose a large order to an order book or to utilize RFQ-to-3 could cause the market to move against the liquidity requester before it can obtain an execution. Under the CFTC's rules, a block trade in a product that is subject to mandatory trade execution may be traded on-SEF using flexible means of execution on the SEF's non-order-book trading system or platform, or away from a SEF's trading system or platform, provided that it is executed pursuant to the SEF's rules and procedures. As noted above, the Commission proposed a similar approach for block trades on SBSEFs, excepting block trades from the required execution methods of Proposed Rule 815(a)(2).

The Commission received a number of comments on its proposal for a block trade exception. Commenters generally support the inclusion of a block trade exception from the Required Transaction requirement in Rule 815(a)(2).[198]

One commenter, supporting the Commission's harmonization with the CFTC's approach to block trades by providing an exception for those trades, states that a flexible block execution regime permits trading of larger-sized transactions in a manner that incentivizes dealers to provide liquidity and capital without creating market distortions.[199] Another commenter asserts that exempting block trades from order book and RFQ execution requirements is critical to the functioning of the SBS markets, particularly to execute large trades without affecting price.[200]

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198 *See* Bloomberg Letter, *supra* note 18, at 14; Citadel Letter, *supra* note 18, at 9–10, ICI Letter, *supra* note 18, at 10–13; SIFMA AMG Letter, *supra* note 18, at 9–10; ISDA-SIFMA Letter, *supra* note 18, at 7–9; MFA Letter, *supra* note 18, at 5–6. Many of these commenters raised questions about the proposed size of the block-trade threshold. *See infra* section V.E.1(c).

199 *See* SIFMA AMG Letter, *supra* note 18, at 10.

200 *See* MFA Letter, *supra* note 18, at 5–6.

This commenter expresses concerns that, absent such an exception, market participants would have difficulty executing, or would be unable to execute, large bona fide trades, since they would be required to do so only through the order book. This would increase the cost of trading and hedging, the commenter says, which could reduce participation in certain markets, resulting in less liquidity and increased volatility.

Another commenter states that the proposed exception for block trades would provide important flexibility for market participants executing SBS transactions of a significantly large size, and that rules that facilitate swap block trades allow market participants, such as regulated funds, to engage in large transactions while mitigating the risks of information leakage and impairment of market liquidity.[201] Another commenter also supports the Commission's proposal to align closely its approach to block trades with the approach taken by the CFTC.[202] This commenter agrees with the Proposing Release's assessment that the block exception to the required methods of execution balances the promotion of price competition and all-to-all trading against the potential costs to the market participants who wish to trade large orders, the importance of which they note is more acute in the SBS market, which is a smaller and less liquid market than the swaps market.

The Commission agrees with these commenters that a block-trade exception is appropriate, not only to maintain harmonization with the CFTC regime for swaps but also to facilitate trading of SBS. This approach, which is consistent with the approach of the CFTC for swaps, will be especially important in the smaller, less liquid SBS markets if and when a clearing determination has been made for one or more SBS. A block-trade exception for SBSs subject to

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201 *See* ICI Letter, *supra* note 18, at 10.

202 *See* Bloomberg Letter, *supra* note 18, at 14.